TrustSentry Pre-Inspection Compliance Report

Firm: Coastal Law Ltd
Period: May 2026
Generated: 25 June 2026
Reference date: 25 June 2026
Sensitivity: Standard
For internal use — not a substitute for professional audit
Total exceptions: 23 (14 CRITICAL, 9 HIGH)

CRITICAL Exceptions

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 6 and Reg 12(6)(a)
Record	L021
Finding	matter M016 balance -$2,500.00 NZD after entry L021 dated 2026-04-28 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 6 and Reg 12(6)(a)
Record	L053
Finding	matter M022 balance -$1,800.00 NZD after entry L053 dated 2026-06-24 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 6 and Reg 12(6)(a)
Record	L061
Finding	matter M025 balance -$400.00 NZD after entry L061 dated 2026-06-10 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 6 and Reg 12(6)(a)
Record	L071
Finding	matter M028 balance -$3,000.00 NZD after entry L071 dated 2026-03-15 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 6 and Reg 12(6)(a)
Record	L072
Finding	matter M028 balance -$4,000.00 NZD after entry L072 dated 2026-04-20 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 6 and Reg 12(6)(a)
Record	L073
Finding	matter M028 balance -$4,500.00 NZD after entry L073 dated 2026-05-25 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Reconciliation break — ledger does not equal bank balance

Rule ID	R03_RECON_BREAK
Regulation	Regulation 17 (with Reg 11) — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	R002
Finding	period 2026-04-30: ledger_total=$798,500.00 bank_balance=$798,750.00 — bank exceeds ledger by $250.00 NZD
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Reconciliation break — ledger does not equal bank balance

Rule ID	R03_RECON_BREAK
Regulation	Regulation 17 (with Reg 11) — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	R004
Finding	period 2026-06-30: ledger_total=$425,300.00 bank_balance=$424,900.00 — ledger exceeds bank by $400.00 NZD
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Bulk bank deposit not fully allocated to client ledger entries

Rule ID	R12_BULK_DEPOSIT_UNALLOCATED
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(1)(b) (client fund segregation) and Reg 11 (traceability)
Record	B031
Finding	bank line B031 (2026-05-22): credit=$15,000.00 NZD - zero allocations and no matched ledger entry (Reg 11 / Reg 12(1) breach)
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Bulk bank deposit not fully allocated to client ledger entries

Rule ID	R12_BULK_DEPOSIT_UNALLOCATED
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(1)(b) (client fund segregation) and Reg 11 (traceability)
Record	B046
Finding	bank line B046 (2026-06-24): credit=$9,000.00 NZD, allocations sum=$7,500.00 NZD (3 rows) - under-allocated (Reg 11 / Reg 12(1) breach)
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Bulk bank deposit not fully allocated to client ledger entries

Rule ID	R12_BULK_DEPOSIT_UNALLOCATED
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(1)(b) (client fund segregation) and Reg 11 (traceability)
Record	B047
Finding	bank line B047 (2026-06-24): credit=$5,000.00 NZD, allocations sum=$5,500.00 NZD (2 rows) - over-allocated (Reg 11 / Reg 12(1) breach)
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Bulk bank deposit not fully allocated to client ledger entries

Rule ID	R12_BULK_DEPOSIT_UNALLOCATED
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(1)(b) (client fund segregation) and Reg 11 (traceability)
Record	B048
Finding	bank line B048 (2026-06-24): credit=$15,000.00 NZD - zero allocations and no matched ledger entry (Reg 11 / Reg 12(1) breach)
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Trust bank account running balance goes negative

Rule ID	R13_BANK_BALANCE_OVERDRAWN
Regulation	Regulation 6 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	B050
Finding	trust bank account balance -$14,175.00 NZD after entry B050 dated 2026-06-25 - trust account overdrawn
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Trust bank account running balance goes negative

Rule ID	R13_BANK_BALANCE_OVERDRAWN
Regulation	Regulation 6 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	B055
Finding	trust bank account balance -$575.00 NZD after entry B055 dated 2026-05-20 - trust account overdrawn
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

HIGH Exceptions

HIGH — Dormant balance — no activity exceeds threshold

Rule ID	R02_DORMANT_BALANCE
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(7); LTAG June 2024 (guidance)
Record	M017
Finding	balance $8,500.00 NZD; last activity 2024-12-15; open 557 days (threshold 365)
Action	REVIEW

HIGH — Bank line with no matching ledger entry

Rule ID	R04_UNMATCHED_BANK_LINE
Regulation	Regulation 11 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	B031
Finding	bank line B031 (2026-05-22): credit=$15,000.00 debit=$0.00 - 'Credit - Unidentified receipt (source unknown)' - no matched ledger entry; open 34 days (threshold 5)
Action	REVIEW

HIGH — Unreconciled ledger entry exceeds age threshold

Rule ID	R05_UNRECONCILED_AGEING
Regulation	Regulation 11 / 17 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	L009
Finding	entry L009 (matter M008) dated 2026-03-28 is unreconciled; open 89 days (threshold 30)
Action	REVIEW

HIGH — FIT balance held beyond transfer deadline

Rule ID	R06_FIT_OVERHELD
Regulation	LCA 2006, s110; LCA (Trust Account) Regulations 2008, Reg 8/Reg 9
Record	M021
Finding	FIT balance $125.00 NZD credited 2026-06-01; open 24 days (threshold 14) - transfer to office account overdue
Action	REVIEW

HIGH — Fee or disbursement entry lacks valid invoice reference

Rule ID	R07_FEE_WITHOUT_INVOICE
Regulation	Regulation 9 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	L037
Finding	entry L037 (matter M012): description='Disbursement - LINZ title search fee', payment=$200.00, reference='' - no INV-XXXXX invoice reference found (Reg 9 breach)
Action	REVIEW

HIGH — Fee invoice reference not found in invoice register

Rule ID	R08_FEE_INVOICE_MISSING
Regulation	Regulation 9 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	L039
Finding	entry L039 (matter M004): reference='INV-99999', payment=$350.00 - invoice INV-99999 not found in invoice register (Reg 9 breach)
Action	REVIEW

HIGH — Fee invoice reference not found in invoice register

Rule ID	R08_FEE_INVOICE_MISSING
Regulation	Regulation 9 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	L068
Finding	entry L068 (matter M027): reference='INV-88801', payment=$2,000.00 - invoice INV-88801 not found in invoice register (Reg 9 breach)
Action	REVIEW

HIGH — Fee payment exceeds authorised invoice amount

Rule ID	R09_FEE_EXCEEDS_INVOICE
Regulation	Internal control check (no direct statutory basis) — Reg 9 governs invoice existence and timing, not amount matching
Record	L040
Finding	entry L040 (matter M018): reference='INV-00236', payment=$5,000.00 exceeds invoice amount $3,000.00 - fee drawn exceeds authorised invoice (Reg 9 breach)
Action	REVIEW

HIGH — Invoice issue date is after the fee payment date

Rule ID	R10_INVOICE_POSTDATES_PAYMENT
Regulation	Regulation 9 — Lawyers and Conveyancers Act (Trust Account) Regulations 2008
Record	L041
Finding	entry L041 (matter M015): payment dated 2026-06-01, invoice 'INV-00237' issued 2026-06-15 - invoice postdates the payment (Reg 9 breach)
Action	REVIEW

Summary

Severity	Count
CRITICAL	14
HIGH	9
Total	**23**